

Investment Research Report

Silver: The Sleeping Giant Awakens

Date: April 25, 2025

Investment Rating: **BUY**

Current Price:\$33.53/oz

Gold-Silver Ratio: ~103 (Above 20-Year Average of 60)

Upside Potential: ~25% (12-month timeframe)

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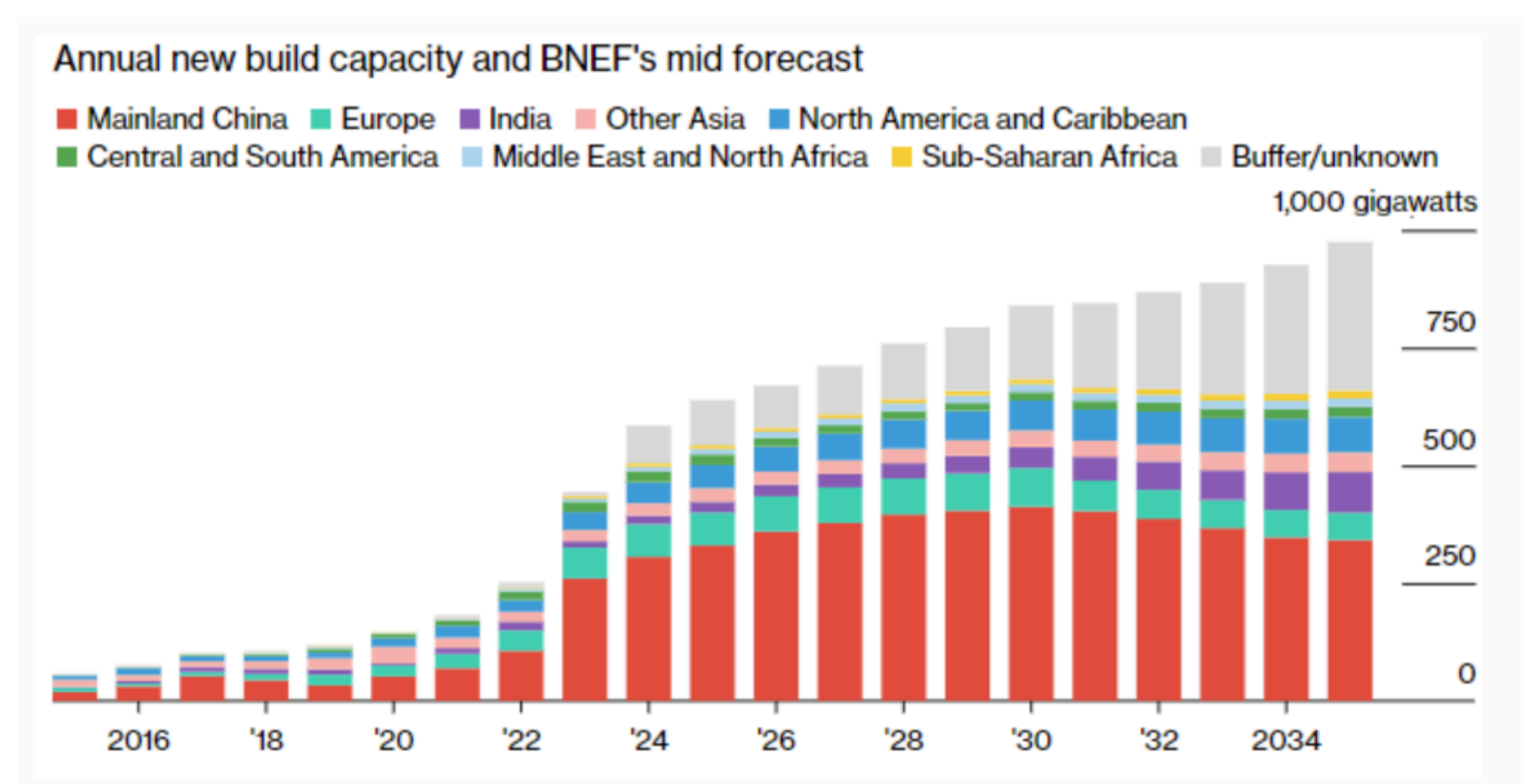
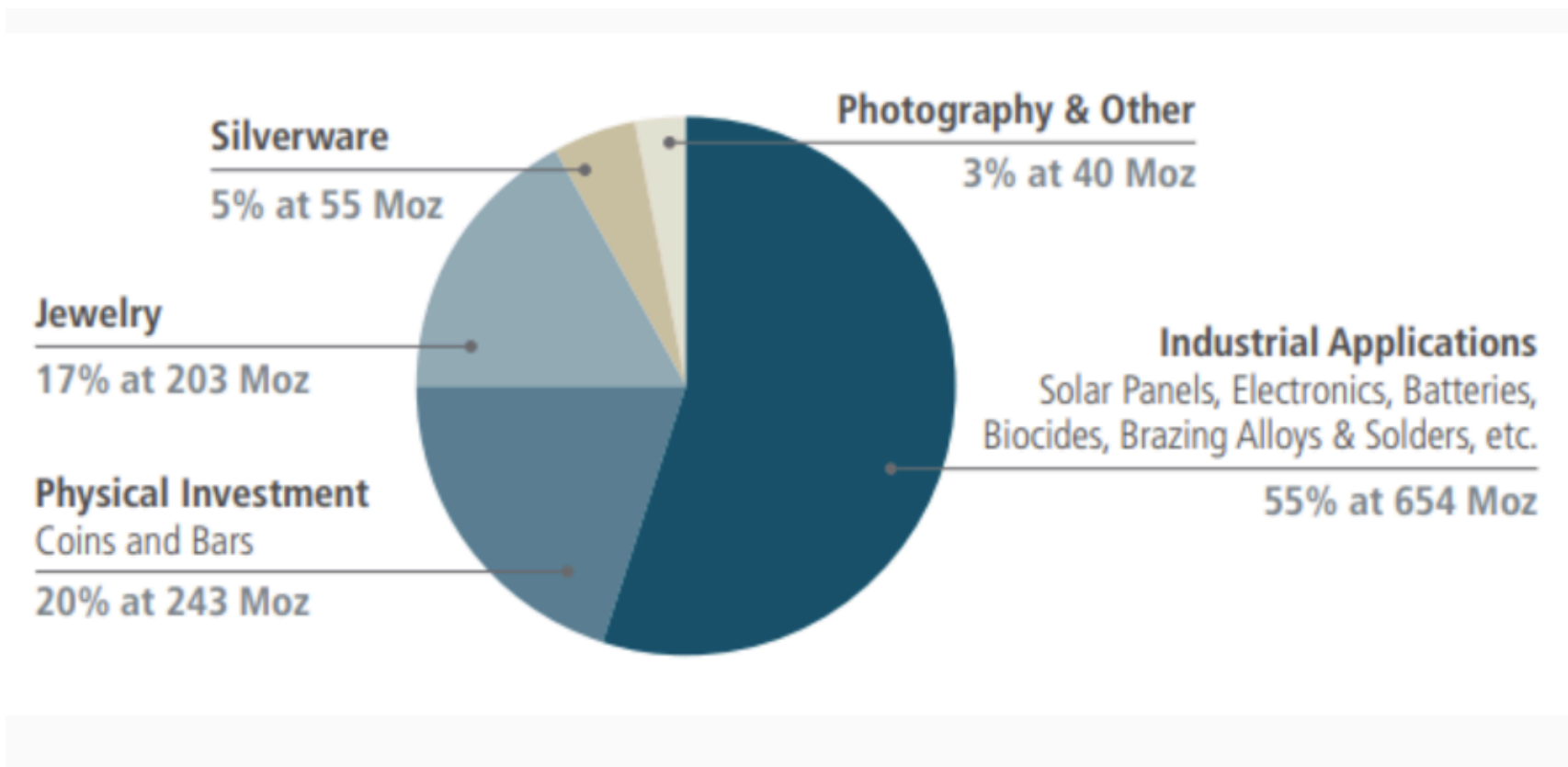
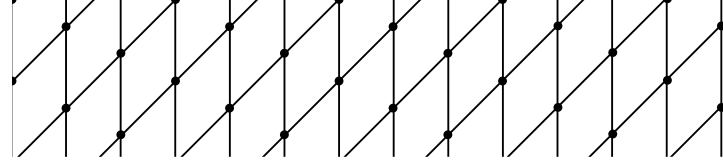
Why Silver Now?

Silver is no longer just “**poor man’s gold.**”

It is emerging as a strategic asset, supported by **record industrial demand**, **structural supply deficits**, and **increasing relevance** as a monetary and safe-haven asset. Amid recent volatility in gold and U.S. Treasury markets, silver offers a **more stable, grounded hedge** with **significant upside**.

Our Call: Initiate a **BUY** position in silver with a **12-month horizon**. Allocate **5–10%** of diversified portfolios via **silver ETFs, digital silver, or MCX/COMEX futures**.





Industrial Demand: The True Growth Driver

Electric Vehicles

Electric vehicles use 2x more silver than ICE vehicles due to advanced electrical systems.

Solar Panels

Each 3x5 ft panel uses up to 20g of silver.
India's solar manufacturing boom has driven record imports: 5,100 MT in just Jan-Apr 2025.

Electronics and 5G

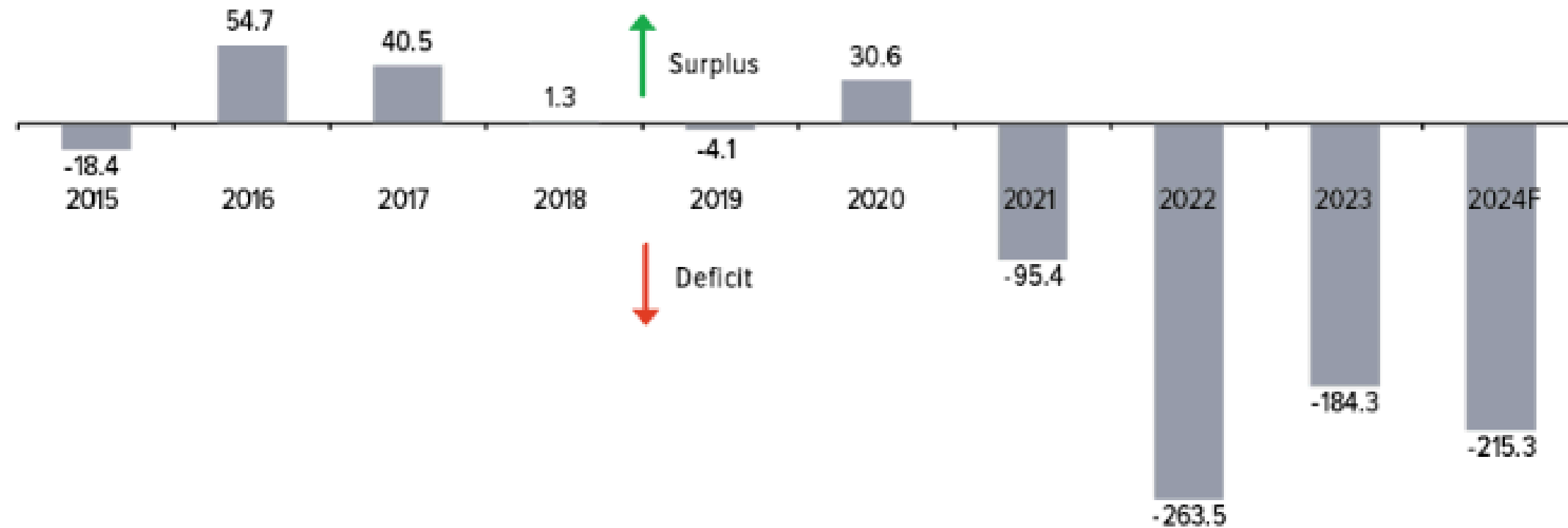
Silver demand in electricals is expected to grow to 246 million ounces by 2025.

Supply Crunch: The Silent Catalyst



Silver to Remain in Deep Deficit

Annual Supply Minus Demand, in Millions of Ounces



Source: Metals Focus, Silver Institute, U.S. Global Investors

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Foreign Trade India imports more silver in 4 months of 2024 than in all of 2023

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Last Updated: May 29, 2024, 04:20:00 PM IST

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2025 marks the **fifth consecutive year** of global silver supply deficit.

Forecast shortfall: *~140 million ounces.*



5 Day Gold Rate (MCX)



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Russia's Central Bank to Acquire Silver Reserves

Russia's Draft Federal Budget for the coming year includes plans for the nation's central bank to continue adding gold, platinum, and palladium reserves and acquire silver for the first time.

Russian Plans for Silver Reserves

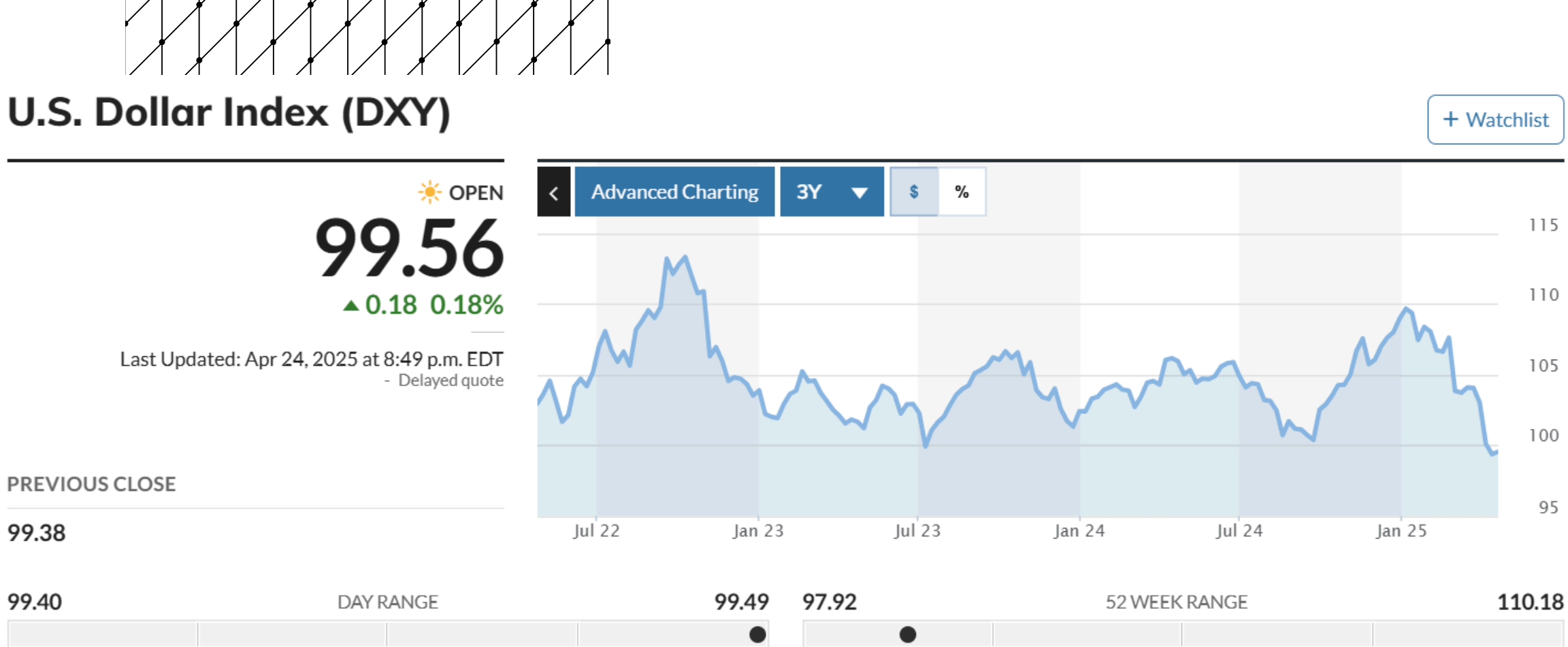
Macro Trends and Monetary Policy

Current Gold Volatility

On April 24, 2025, gold fell \$140 in a day after political comments from President Trump.

Central Bank Shift

For the first time, a central bank - Russia's - announced silver purchases for reserves.



US Dollar Index (DXY)



US 10-Year Bond Yield (relative to Germany)

Macro Trends and Monetary Policy (cont.)

Weakening U.S. Dollar

The U.S. Dollar Index (DXY) has declined approximately 5% since early April 2025, reaching a three-year low of 97.92

U.S. Bond Market Turbulence

In early April 2025, the 10-year U.S. Treasury yield surged from 3.86% to 4.5% within days, marking the most significant three-day increase since 1982.

Risks To Monitor

- **Volatility:** Silver's higher standard deviation can pose risks to short-term investors.
 - **Demand Disruption:** Global industrial slowdowns (e.g., China, Germany) may reduce silver's momentum.
 - **Fed Surprise:** Any hawkish Fed pivot may boost the USD, temporarily capping silver prices.
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Final Recommendation

BUY

- ✓ Strong industrial fundamentals
- ✓ New central bank interest
- ✓ Geopolitical hedge during rising uncertainty
- ✓ More stable inflation hedge amid gold's volatility

